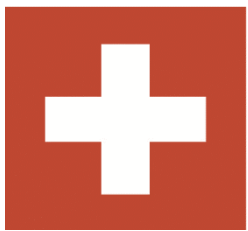


THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Switzerland 2022



THE OECD TAX-BENEFIT DATABASE FOR SWITZERLAND

Description of policy rules for 2022

OECD contact: Eliza-Jane Pearsall, Jobs and Income Division, Directorate for Employment, Labour and Social Affairs. Email: Tax-Benefit.Models@oecd.org

National team: Cyril Malherbe (coordinator) and Salome Schüpbach, Swiss Federal Social Insurance Office.

This version: July 2022

This work is published on the responsibility of the Director of the OECD Directorate for Employment, Labour and Social Affairs. The opinions expressed and arguments employed herein do not necessarily reflect the official views of the Organisation or of the governments of its member countries.

This document and any map included herein are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

You can copy, download or print OECD content for your own use, and you can include excerpts from OECD publications, databases and multimedia products in your own documents, presentations, blogs, websites and teaching materials, provided that suitable acknowledgment of the source and copyright owner is given. All requests for public or commercial use and translation rights should be submitted to rights@oecd.org. Requests for permission to photocopy portions of this material for public or commercial use shall be addressed directly to the Copyright Clearance Center (CCC) at info@copyright.com or the Centre français d'exploitation du droit de copie (CFC) at contact@cfcopies.com.

Table of contents

Preface	4
The OECD tax-benefit model for Switzerland: Policy rules in 2022	1
1. Reference wages	1
2. Unemployment benefits	1
2.1. Unemployment insurance (Assurance chômage / Arbeitslosenversicherung)	1
2.2. Unemployment assistance (Assistance chômage / Arbeitslosenhilfe)	4
Compensation for loss of earnings for self-employed persons (not financed by labour market insurance)	5
3. Social assistance and housing benefits	6
3.1. Guaranteed minimum income (Aide sociale / Sozialhilfe / Assistenza sociale)	6
3.2. Housing assistance for social assistance recipients (Frais de logement / Wohnkosten)	9
4. Family benefits	11
4.1. Family benefit (Allocation familiales / Familienzulagen)	11
5. Net costs of Early Childhood Education and Care	12
5.1. Gross childcare fees	13
5.2. Fee discounts and free provision	14
5.3. Childcare benefits for formal centre-based care	14
5.4. Childcare allowance for children not using child care centers	14
5.5. Tax concessions for childcare expenditures	15
6. Employment conditional benefits	15
7. Social security contributions and payroll taxes	16
7.1. Social security contributions	16
7.2. Non-tax compulsory payments	18
8. Taxes	19
8.1. Federal income tax (Impôt sur le revenu perçu par l'administration fédérale (Confédération) / Einkommensteuer (Direkte Bundessteuer))	19
8.2. Local income tax (Impôt sur le revenu perçu par l'administration le canton et la commune of de Zurich / Einkommensteuer (Staatssteuer))	22
9. Selected output from the OECD tax-benefit model (TaxBEN)	26
Annex I: Other benefits and direct taxes	28
Transition benefits.	28
Unemployment assistance (Assistance chômage / Arbeitslosenhilfe)	28
Annex II: Other benefits and direct taxes	31
1.1. Short-time work (l'indemnité en cas de réduction de l'horaire de travail)	31
Temporary measures undertaken in the framework of the labour market insurance that are still in place (June 2022): Extension and simplification of short-time work compensation	31
Abolition of the maximum period of entitlement to short-time work compensation	31
1.2. Other support programs	32

Preface

This report provides a detailed description of the tax and benefit rules in Switzerland as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2022**.
- The TaxBEN models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for Switzerland: Policy rules in 2022

1. Reference wages

Average wage **[AW]**: The OECD tax-benefit model (TaxBEN) uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

Minimum wage **[MIN]**: There is no national statutory minimum wage in Switzerland, though four cantons now have a minimum wage: Geneva, Neuchâtel, Jura and Ticino.

2. Unemployment benefits

2.1. Unemployment insurance (*Assurance chômage / Arbeitslosenversicherung*)

Variable names:³ **[UB; UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and taxable. 

All employees are affiliated to the unemployment insurance scheme.

2.1.1. Eligibility conditions

Age: the insured person must have completed compulsory schooling, not yet have reached the age of entitlement to a 1st pillar old-age pension and not be receiving said pension.

Contribution/employment history:

There are two types of framework periods:

1. Framework contribution period (DCC), which is in principle 2 years. A minimum of 12 months of contributions during the 2 years preceding unemployment is

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ Each (sub-) section in this chapter lists the variable names for the different benefits and taxes as they are used in TaxBEN. The first variable usually denotes the aggregate component while variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse (alternative specifications to denote adults are possible, e.g. “_1” and “_2”). For instance, in this section, **UB** denote unemployment benefits, which are the sum of individual-specific unemployment insurance benefits of the principal adult, **UI_p**, and the spouse, **UI_s** (as relevant).

required to be entitled to unemployment benefit (exception "persons released from the conditions relating to the period of contribution", see below Section 2.1.3.).

2. Framework compensation period (FCP), the period directly following the framework contribution period, which in principle also lasts 2 years. If at the end of this framework period the insured person is still unemployed, they can reopen a new framework period for compensation if they have paid contributions for at least 12 months during these 2 years, i.e. in the case in which they only have been partially unemployed.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.⁴

The insured person must be unemployed; have suffered a loss of work for at least two consecutive days with loss of earnings; be fit for employment; meet the requirements of the control; be domiciled in Switzerland. Those who quit are considered voluntarily unemployed and will have a suspension of between 1 and 60 days.

COVID-19 measures (Not currently implemented in TaxBEN model)

Extended eligibility and facilitation of short-time work compensation

To secure income and preserve jobs, in the third year of the Covid-19 pandemic various expansions of the groups entitled to benefits as well as financial and administrative relief for companies continue to be implemented within the framework of short-time work compensation. Among other things, an increase in short-time work compensation for low-income earners was introduced as late as December 2020 (limited until December 2022). Accordingly, employees with an income of up to CHF 3'470 (FTE) are currently entitled to 100% short-time work compensation. For incomes between 3'470 and 4'340 CHF (FTE), the amount of short-time allowance corresponds to a lump sum of 3'470 CHF. Under certain conditions persons in apprenticeships, in fixed-term employment relationships and employees on call have again been granted access to short-time work compensation (limited until March 31 2022). Furthermore, the waiting period at the employer's expense was abolished completely from March 1 2020 to June 30 2021 and was only one day from July 1 2021 to December 31 2021 and is abolished completely from January 1 2022 to March 31 2022. The utilization of the simplified procedure for calculating short-time work compensation ("summary procedure") has also been extended until March 31 2022. Beyond, income from interim employment during short-time work will continue not to be counted towards the benefit (until March 31 2022). Finally, short-time work compensation can now be approved for a total period of up to two years (until June 30 31 2022). As in 2020 and 2021, the Confederation will pay for the costs of short-time work compensation in 2022 due to the extraordinary claims resulting from the containment measures ordered by the authorities.

This policy is not implemented in TaxBEN as the model scope does not currently include short-time work schemes.

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

2.1.2. *Benefit amount*

Calculation base: the insured income (salary obtained during the reference period from one or more employment relationships, up to a maximum of CHF 12 350) multiplied by 0.7 or 0.8 divided by 21.7.

Benefit amount: The daily allowance amounts to 70% of the insured income.

A daily allowance amounting to 80% of the insured income is granted to insured persons who:

- have a maintenance obligation towards children under 25 years of age;
- receive a daily allowance of no more than CHF 140;
- receive a disability pension corresponding to a degree of disability of at least 40% (these persons are not included in TaxBEN).

The gross insurable income is limited to a maximum monthly amount of CHF 12,350 (CHF 148,200 annually). The benefit is paid monthly.

2.1.3. *Benefit duration*

At least 12 months of contributions within a two-year contribution period are required to qualify for unemployment benefit.

Insured persons with less than 18 months' contributions are entitled to 260 daily benefits during a two-year benefit period, provided they are over 25 or have dependent children.

Insured persons with a contribution period of between 18 and 24 months are entitled to 400 daily allowances for a benefit period of two years, provided they are over 25 or have dependent children.

Insureds without children and under 25 years of age are entitled to 200 benefits regardless of the period during which they have paid contributions.

Insured persons who have reached the age of 55 or who receive a disability pension corresponding to a degree of disability of at least 40% are entitled to a maximum of 520 daily allowances if they can prove a minimum contribution period of 22 months. The maximum number of daily allowances is increased by 120 for insured persons who become unemployed during the four years preceding the age for entitlement to an AVS pension (retirement). The framework period is extended by two years or more for the latter category of insured persons.

Unused daily allowances during an unemployment spell cannot be "saved" for a future unemployment spell.

Waiting period⁵:

The waiting period does not apply to insured persons whose insured income does not exceed CHF 36,000 per year or to insured persons with children if their income does not exceed CHF 60,000 per year.

For persons who do not have a maintenance obligation towards children under 25 years of age, the waiting period extends to

- a 10 days for insured earnings between CHF 60,001 and 90,000;

⁵ Waiting periods are not simulated in TaxBEN because they are too short to be considered in the calculator.

- b 15 days for insured earnings between CHF 90 001 and 125 000;
- c 20 days for an insured income of more than CHF 125 001.

Persons with children under the age of 25 whose annual income exceeds CHF 60,000 are subject to a waiting period of 5 days.

Persons who are exempt from the contribution period requirement for training reasons (Art. 14, para. 1, letter a of the LACI; these persons are not included in TaxBEN) must observe a waiting period of 120 days before receiving unemployment benefit during the framework period. Other persons who have been released from the obligation to pay contributions are subject to a waiting period of 5 days.

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

Unemployment insurance benefits are subject to accident insurance contributions (2.51%), death and disability insurance (1.25%) and old-age and survivors' insurance/disability and loss-of-earnings allowances (5.3%).

2.1.6. Interactions with other components of the tax-benefit system

Family allowances are paid in addition, as long as the insured person receives unemployment benefit and does not receive family allowance from another institution.

2.1.7. Combining benefit receipt and employment/starting a new job

If the person earns income while unemployed, this is taken into account as intermediate earnings. If this income is greater than or equal to the amount of unemployment benefit to which he or she would be entitled during the month under consideration, they will not receive unemployment insurance benefits during that month. If, on the other hand, the insured person's income is less than the amount of unemployment benefit to which he or she would be entitled during the month under consideration, the insured person keeps the intermediate income and receives compensation equivalent to 70 or 80 per cent of the difference between their insured income and the amount of the intermediate income. In this way, the insured person benefits from his intermediate earnings since their income will be higher than the amount of unemployment benefit to which they would have been entitled without intermediate earnings. This system applies for 12 months during the 2-year DCI. Thereafter, the insured person is still paid the difference between his intermediate earnings and the monthly unemployment benefit to which they would have been entitled during the month in question. This means that their income will no longer be increased. If the insured person has children or is older than 45, the system applies for the entire duration of the framework compensation period.

2.2. Unemployment assistance (*Assistance chômage / Arbeitslosenhilfe*)

OECD note: In many OECD countries, jobseekers who do not qualify for Unemployment Insurance (UI – Section 2.1), or whose entitlement to UI is low or has expired, can claim Unemployment Assistance (UA – this section) and/or Social Assistance benefits (SA – Section 3). These UA and SA benefits have different purposes (and reach different target groups). For instance, while the main purpose of UA is to encourage the labour market reintegration of jobseekers who have exhausted or are not eligible to the standard UI benefit, the purpose of SA programmes is to provide an acceptable standard of living for families unable to earn sufficient incomes from other sources. Conditions for UA typically

include requirements to register with the public employment service and participate in active job search in a similar way as for UI. This is *not always* the case for SA benefits, for which low income is the key entitlement criterion and activation requirements exist only for those who are capable of work.

Based on this definition, Switzerland and the representative region considered in this report (Zurich) do not currently provide a national/local Unemployment Assistance programme. Nevertheless, certain cantons of Switzerland (notably, Zug) do provide an Unemployment Assistance programme. These benefits are not implemented in the TaxBEN model as they do not refer to the representative region. However, they are described in the Annex.

COVID-19 measures (Not currently implemented in TaxBEN model)

Compensation for loss of earnings for self-employed persons (not financed by labour market insurance)

Self-employed persons who suffer loss of earnings due to official measures to combat coronavirus are compensated, unless compensation or insurance benefits is already provided for the following cases:

- School closures
- Medically prescribed quarantine
- Closure of an independently managed publicly accessible business

The regulation also applies to freelance artists whose engagements are cancelled because of the measures against the corona virus or because they have to cancel their own event.

Compensation is regulated in accordance with the Income Compensation Act and is paid as a daily allowance. This corresponds to 80 percent of income and amounts to a maximum of 196 Swiss francs per day. The number of daily allowances for self-employed persons in quarantine or with care duties is limited to 10 and 30 respectively. The AHV compensation funds are responsible for paying out the benefit. The measure is currently expected to expire 31 December 2022.

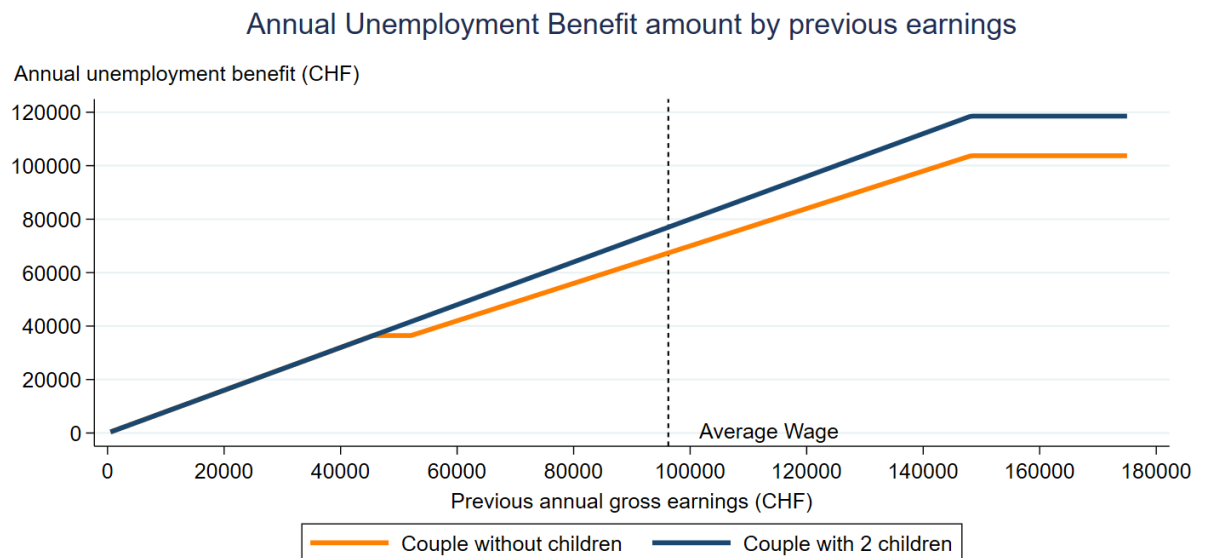
Corona income replacement

The Corona income replacement is an instrument that was newly introduced during the pandemic in order to secure the income of certain gainfully employed persons who were not covered by the existing instruments. The conditions for eligibility are rather heterogeneous. Currently, the following groups are eligible to claim Corona income replacement (currently until December 31 2022):

- Parents who have to interrupt their gainful employment because outside childcare is not guaranteed due to official measures to combat the corona virus.
- Persons who have to interrupt their gainful employment due to a quarantine measure and home office is not possible (maximum 10 daily allowances).
- Self-employed persons who suffer a loss of income due to measures to combat the coronavirus (closure of businesses and ban on events).
- Persons in a quasi-employer position in the event sector and their assisting spouses and registered partners
- Persons in a quasi-employer position who suffer a loss of earnings due to the measures to combat the coronavirus (business closures and ban on events)

- Self-employed persons and persons in a quasi-employer position who have to significantly restrict their gainful employment due to the measures to combat the coronavirus.

Figure 1 – Unemployment Benefit by previous earnings



Note : Figures for 40-year old one-earner couple (spouse does not work). Children are 4 and 6 years old. Figures for second month of benefit receipt.

3. Social assistance and housing benefits

3.1. Guaranteed minimum income (*Aide sociale / Sozialhilfe / Assistenza sociale*)

Variable names: [\[SA\]](#)

This is a non-contributory benefit, means-tested and non-taxable.

The Guaranteed minimum income supports the livelihood of people in need, promotes their economic and personal independence and ensures their social integration; it is therefore not limited to the bare minimum. It is the responsibility of the cantons and is often organised at the municipal level. The Swiss Conference of Social Action Institutions (CSIAS in French, SKOS in German, or COSAS in Italian) publishes recommendations which are widely adopted by the cantons and thus help to reduce cantonal differences (CSIAS/SKOS/COSAS guidelines "Concepts and standards for the calculation of social assistance").

In the model, the policy rules for the **Zurich canton (ZH)** are simulated.

The social assistance system is based on a 'social minimum', complemented by supplements for integration. Clear incentives to engage in gainful employment or to increase existing employment have been introduced. They provide for deductibles on income from gainful employment, capped per household and periodically reviewed for eligibility. An integration supplement will be paid for participation in an integration activity (which also includes educational or care work as well as activities of public benefit).

People who, for health reasons in particular, are unable to provide a benefit will also receive a minimum integration benefit, so that they are not unnecessarily worse off than with the current amounts. At the same time as this supplement is introduced, the amount of the basic maintenance package is reduced.

In order to combat abuse, the standards provide for an extension of the reduction period and a new regulation of the practice of suspending support benefits on the basis of the new practice of the Federal Court. There are special recommendations for young adults, with a focus on training and vocational integration.

Sources:

SKOS guidelines 2021 (most recent):

Normes (skos.ch) (français):

https://rl.skos.ch/lexoverview-home/lex-RL_A_1

Richtlinien (skos.ch) (allemand):

https://rl.skos.ch/lexoverview-home/lex-RL_A_1

Sozialbericht Kanton Zürich 2020, Bundesamt für Statistik (BFS) und Kantonales Sozialamt Zürich:

<https://www.bfs.admin.ch/bfs/de/home/statistiken/kataloge-datenbanken/publikationen.assetdetail.19704001.html>

3.1.1. Eligibility conditions

Social assistance is means-tested. It only comes into play if the person can no longer support him or herself and all other available sources of assistance have been exhausted. It is subsidiary to personal effort, private and public law claims (insurance benefits) and voluntary third-party benefits.

3.1.2. Benefit amount

Economic assistance must guarantee the "social" minimum, which takes into account not only expenses for basic needs but also other needs depending on individual circumstances. The amount of assistance is calculated by comparing the expenses for maintenance, housing, medical care, etc., with the income. There is no limit to the benefit, the amount needed is covered by social assistance.

The **basic benefit** consists of a lump sum for maintenance which corresponds to the minimum subsistence level for a life in Switzerland that is consistent with human dignity. It is paid monthly.

- Maintenance allowance⁶, for persons in the same private household (per year)
 - 1 person up to the age of 25, under certain conditions: CHF 9 658
 - 1 person: CHF 12 072.
 - 2 persons: CHF 18 468.
 - 3 persons: CHF 22 452
 - 4 persons: CHF 25 836
 - 5 persons: CHF 29 220

⁶ Richtlinien (skos.ch) : https://rl.skos.ch/lexoverview-home/lex-RL_A_1

Supplement of 2 448 CHF per additional person.

In addition to this amount, housing costs (see Section 3.2) and medical ones are also considered:

- Housing costs (see Section 3.2): with direct charges. The rent (or mortgage charges for landlords) is to be taken into account as long as it is within the local property market prices. The rental charges in the lease are also taken into account. Special conditions apply to young adults. For people in institutions, accommodation costs are taken into account.
- Costs for basic medical care: without compulsory health insurance premiums (these are paid directly by the municipality but are still included in basic needs and modelled in TaxBEN⁷).

Benefits can be reduced if the beneficiary refuses to cooperate or does not make sufficient efforts towards integration; the subsistence level remains guaranteed.

Other benefits are added, but are not modelled in TaxBEN:

- Circumstantial costs (e.g. costs due to illness, disability, holidays, convalescence, etc.): at the discretion of the competent authority.
- Integration supplement for persons over 16 years of age who are not gainfully employed and who make special efforts to integrate socially or professionally: from CHF 100 to 300 per month.
- Minimum integration supplement for people who are not able or willing to provide an integration benefit (health, few offers): minimum 100 CHF per month.

3.1.3. *Benefit duration*

Duration of benefits: no limits, as long as the need is proven.

Waiting period: none.

3.1.4. *Means test*

Income taken into account:

- All income, including unemployment benefits and family allowances, less taxes and contributions. Since 1st January 2015, in the canton of Zurich, a deductible of up to CHF 400 per month on income from full-time employment has been granted to persons over the age of 16.⁸ The total deductible is limited to CHF 850 per household per month.
- Assets (not modelled): assets that can be realised and exceed the limit of CHF 4,000 per adult and CHF 2,000 per child, maximum 10,000 per case.

⁷<https://richtlinien.skos.ch/b-materielle-grundsicherung/b4-junge-erwachsene/et/B.5>. To facilitate the calculation, TaxBEN first simulates the premiums of the compulsory health insurance (the inclusive premium reduction, see Section 7.1). Afterwards the premiums are added to the basic needs and included in the social assistance if the beneficiary's income is lower. For more details on the rules applied in Zurich see (in German): <http://www.sozialhilfe.zh.ch/Seiten/Kapitel.aspx?OpenTrigger=7&FilterValue1=7%2E3>

⁸ [http://www.sozialhilfe.zh.ch/Handbuch/9.1.02.%20Einkommensfreibetrag%20\(EFB\).aspx](http://www.sozialhilfe.zh.ch/Handbuch/9.1.02.%20Einkommensfreibetrag%20(EFB).aspx)

- Claims against third parties (not modelled): claims pass to the assistance authority under certain conditions (maintenance obligations of parents...), by virtue of the law or an assignment deed.

3.1.5. Tax treatment

Not taxable.

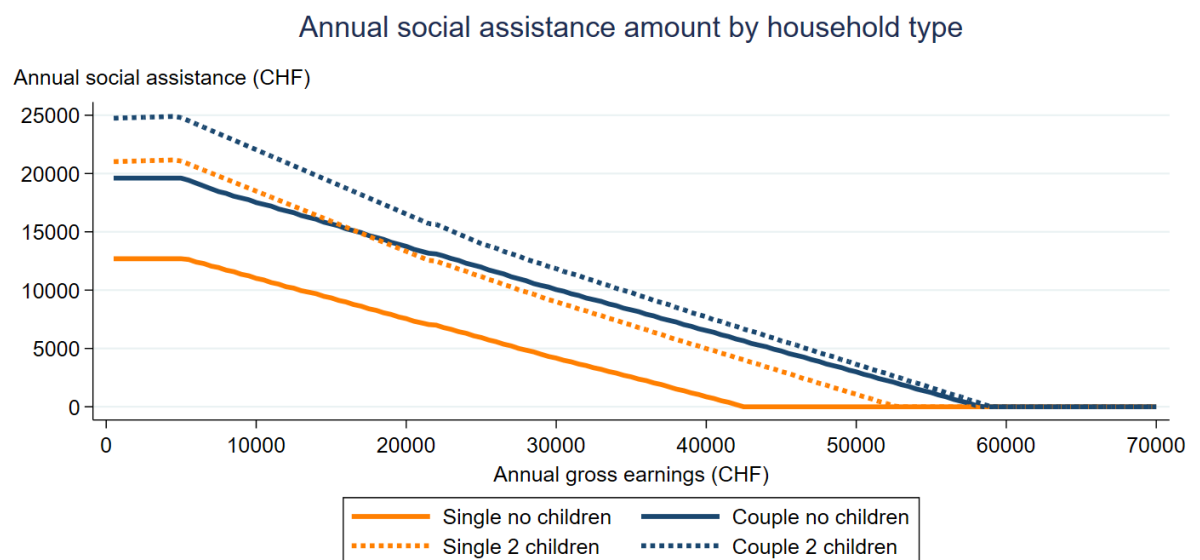
3.1.6. Interaction with other components of the tax-benefit system

No information.

3.1.7. Combining benefit receipt and employment/starting a new job

See Section 3.1.4.

Figure 2 – Social Assistance by gross earnings



Note: All adults are 40 years old. In case of couples, spouse does not work. Children, if present, are 4 and 6. Household also receives Housing Benefits.

3.2. Housing assistance for social assistance recipients (*Frais de logement / Wohnkosten*)

Variable names: [\[HB\]](#)

This is a non-contributory benefit, means-tested and not taxable.

3.2.1. Eligibility conditions

Same as social assistance (see 3.1.1).

3.2.2. *Benefit amount*

The rental costs are covered by social assistance. The social welfare authority sets the maximum rental costs for social assistance recipients.⁹ The benefit is paid monthly.

The basic rule is that the rent should not exceed a third of the possible income. The maximum rent for one-person households is currently CHF 1 200. If a person or family lives in an apartment that is too expensive, they may be required to look for a cheaper solution.¹⁰

There are special rules for young adults aged 18-25. These are based on the financial situation of other young adults. If they cannot live with their parents, they are expected to choose an affordable form of living in a shared flat. At the same time, young adults are supported so that they can do vocational training.

Maximum monthly amounts:

- 1 person : 1 200 CHF ; 800 CHF if under 25 years old
- 2 persons : 1 500 CHF
- 3 persons: 1 650 CHF
- 4 persons: 1 800 CHF
- 5 persons: 2 000 CHF
- 6 persons: 2 200 CHF

3.2.3. *Benefit duration*

Same as social assistance (see Section 3.1.3).

3.2.4. *Means test*

Same as social assistance (see Section 3.1.4).

3.2.5. *Tax treatment*

Non imposable.

3.2.6. *Interaction with other components of the tax-benefit system*

No information.

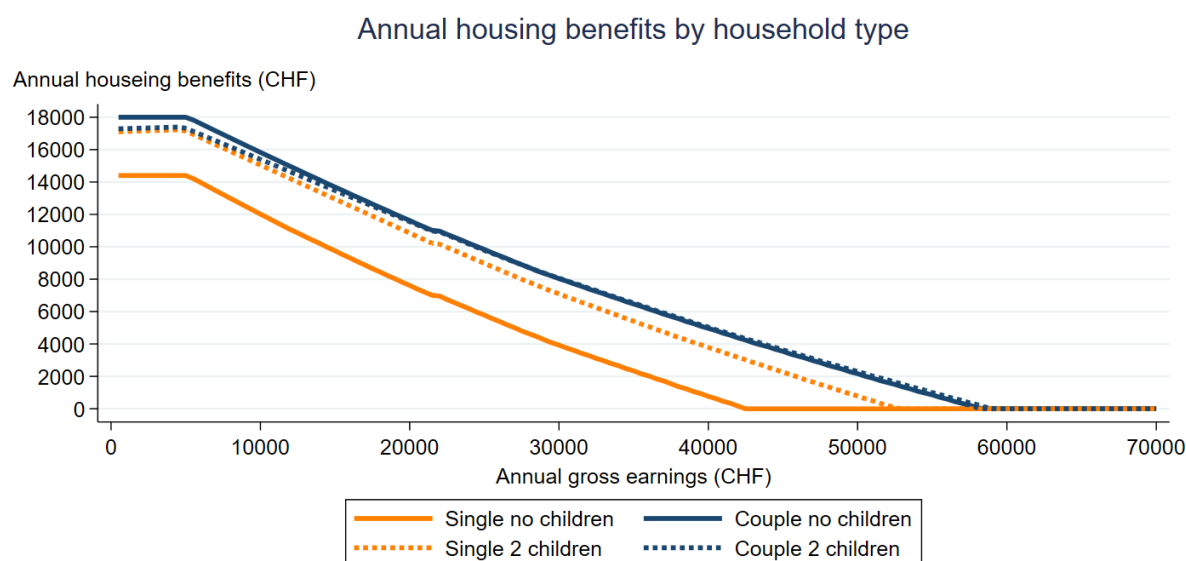
3.2.7. *Combining benefit receipt and employment/starting a new job*

Same as social assistance (see Section 3.1.4).

⁹ More information is available at : https://www.stadt-zuerich.ch/sd/de/index/unterstuetzung/finanz/wirtschaftliche_hilfe/faq-sozialhilfe.html

as well as: https://www.stadt-zuerich.ch/sd/de/index/ueber_das_departement/organisation/sod/haw_sod.html

¹⁰ It is not obligatory that a person living in an overly expensive apartment is forced to look for a new apartment. Social workers have the discretion to temporarily approve an overly expensive rent, if a change of apartment (for the time being) is not proportionate and reasonable. If a person does receive this approval, it must be reviewed periodically.

Figure 3 – Housing Benefits by gross earnings and household type

Note: All adults are 40 years old. In case of couples, spouse does not work. Children, if present, are 4 and 6. Households also receive Social Assistance.

4. Family benefits

Variable names: [\[FB\]](#)

Family benefits are determined by the cantons and, with the exception of the canton of Valais, are financed by employers and, since 1 January 2013, also by the self-employed.

4.1. Family benefit (*Allocation familiales* / *Familienzulagen*)

This is a non-contributory benefit, not means-tested and not taxable.

4.1.1. Eligibility conditions

Have at least one dependent child under the age of 16 or, if in education, under the age of 25. Parents must be working or receiving unemployment insurance. Individuals who are not in gainful employment (who do not receive unemployment insurance benefit) and who have a low income can also receive family allowances.¹¹

¹¹Persons not in gainful employment with a low income: persons with a salary of less than CHF 7,110 per year. Entitlement to child benefit as a non-working person is subsidiary: if, for the same period, a working person is entitled to child benefit for the same child, this entitlement has priority. In order to receive family allowances as a non-working person, the applicant must be recognised as a non-working person within the meaning of the Old-Age and Survivors' Insurance (AVS) and be resident in Switzerland. Their taxable income must not exceed CHF 43,020 per year and they must not be receiving any supplementary benefits from the Old Age and Survivors' Insurance (AVS) / Invalidity Insurance (AI). The canton of Vaud has raised the taxable income limit to CHF 57,360 per year. The cantons of Geneva, Jura and Ticino have abolished it. A person who becomes unemployed during the year is entitled to family allowances as a non-working person as soon as the conditions are met; he or she may therefore start receiving family allowances as a non-working person during the year (not recorded in TaxBEN because income

4.1.2. *Benefit amount*

Family allowances are paid monthly either by the employer if the parent is working, or by the unemployment fund if the parent is unemployed, by the AVS compensation fund of the canton of residence for persons not in gainful employment or by the family allowance fund for persons who are self-employed.

The amount varies from canton to canton; in TaxBEN the rules for the **canton of Zurich (ZH)** are simulated: CHF 2,400 per year for a child under 12 and CHF 3,000 for those aged 12 and over.

Types and amounts of family allowances according to the Federal Child Benefit Act, the Federal Child Benefit Act and cantonal laws: <https://www.bsv.admin.ch/bsv/de/home/sozialversicherungen/famz/grundlagen-und-gesetze/ansaetze.html>

4.1.3. *Benefit duration*

Entitlement to benefit starts and ends with the entitlement to wages. For unemployed persons, family allowances cease to be paid when the unemployment benefit expires.

4.1.4. *Means test*

Family benefits are not means-tested.

4.1.5. *Tax treatment*

Taxable, but not subject to social security contributions.

4.1.6. *Interaction with other components of the tax-benefit system*

No information.

4.1.7. *Combining benefit receipt and employment/starting a new job*

No restriction.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2022**.

In general, childcare allowances for children in municipal childcare facilities do not exist in Switzerland. However, some cities provide subsidies which are simulated for the City of Zurich in TaxBEN (see Section 5.1).¹²

other than wages and unemployment insurance benefits is not considered when calculating taxable income).

Family allowances paid to persons not in gainful employment are mainly paid by the cantons.

¹² Other benefits that are not simulated in TaxBEN :

Nine cantons pay birth allowances to employees, self-employed persons and persons not in gainful employment. To qualify for these allowances, you must be entitled to other family allowances and the amount is a one-off. The regulations are described in this document:

5.1. Gross childcare fees

Variable names: `[SZcc_cost]`

This is for the city of Zurich and cannot be extrapolated to the whole of Switzerland.

Children in the city of Zurich may attend childcare and education services until the age of 4. Children who turn 4 by 31 July attend mandatory kindergarten for two years from the school year starting in mid-August.

Childcare and education services in the city of Zurich are subject to a fee. Parents of children residing in Zurich can apply for subsidies for a childcare place in a:

- public crèches and nurseries (simulated in TaxBEN)
- private day care centres and day families with a contract with the city of Zurich (not simulated in TaxBEN).

For day care centres, parents pay a maximum of CHF 120 for a day's care and a minimum of CHF 12 after subsidies (see Section 5.3), depending on income (including costs for meals).¹³

Mandatory kindergarten services have no fees except for a lunch fee of CHF 6 per day.

5.1.1. Discounts for part-time usage

Day care fees apply per day, so fees are only charged for days attended (thus a child attending care for three days per week pays 60% of the fees that a child attending five days per week would pay).

In addition, there are reduced costs for a half day: maximum CHF 84 (CHF 60 excluding cost of meals), minimum CHF 8.4 (CHF 6 excluding cost of meals). The use of part-time childcare per day is very rare (as opposed to use for only a few days per week; the use of public crèches and day-care centres amounted to just under 3 days per week on average in 2021). For this reason, the costs for a half day are not simulated in TaxBEN.

Source:

<https://www.bsv.admin.ch/bsv/fr/home/assurances-sociales/famz/grundlagen-und-gesetze/ansaeetze.html>.

In addition, 12 cantons (2020; source: [Sozialhilfe im weiteren Sinn: Leistungen pro Kanton - 2007-2020 | Tabelle | Bundesamt für Statistik \(admin.ch\)](#)) already have need benefits that are paid to mothers and partly also to fathers. These benefits are modelled on the AVS/AI supplementary benefit system (PC). Depending on the canton, they are paid for 6 to 24 months (up to three years in Ticino) and correspond to the difference between the actual income and the threshold for entitlement to PC (dito). You can refer to the brochure: <https://www.bsv.admin.ch/bsv/de/home/sozialpolitische-themen/familienpolitik/absicherung/bedarfsleistungen.html>.

At the federal level, the National Council (lower house) in 2002 acted on parliamentary initiatives by Fehr and Meier-Schatz (00.436 and 00.33*7), which called for the introduction of supplementary benefits for parents based on the Ticino model. The aim is to ensure a minimum standard of living for families and children. Three different models were submitted to the cantons for consultation in 2004. The initiative was rejected on 17.6.2011.

¹³https://www.stadt-zuerich.ch/ssd/de/index/volksschule/betreuung_horte/beitragsrechner/beitragsrechner.html

https://www.stadt-zuerich.ch/content/dam/stzh/ssd/Deutsch/Volksschule/dokumente/betreuung/tarifuebersicht_neue_verordnung.pdf

5.2. *Fee discounts and free provision*

Variable names: `[cc_subsidy]`

Parents are only eligible for a subsidy if they are unable to care for the child because the parents are working (including volunteer work), in education, undergoing further training, looking for a job and registered with the regional unemployment centre (RAV) or for medical reasons such as mental or physical disability. In addition, children may be eligible if they do not speak German or are socially disadvantaged.¹⁴

For day care centres, parents pay a maximum of CHF 120 for a day's care and a minimum of CHF 12. The income level above which the maximum amount applies is CHF 100,000. The income taken into account to assess resources is equal to taxable income plus 10% of taxable assets exceeding CHF 50,000 per parent (not taken into account in TaxBEN) minus personal (CHF 6,000 per adult and CHF 6,000 per child) and household deductions (CHF 6,000).¹⁵

The number of days of subsidised care is determined by workload of the parents. Workload (as per reasons listed above) is calculated as a percentage of full-time (42 hours). Members of a couple add this time together and subtract 100%. The result is rounded up to whole days of subsidised care, where 20% corresponds to one day of care.

For example, a family where the father is looking for work 30 hours per week ($30/42=71\%$) and the mother works 3 days per week (60%) has a total workload of 131%. After subtracting 100%, the amount of care required is 31%, rounded up to 40% or 2 days of subsidised care per week.¹⁶

Note that TaxBEN currently only models child care where both adults work full time.

5.3. *Childcare benefits for formal centre-based care*

Variable names: `[cc_benefit]`

None.

5.4. *Childcare allowance for children not using child care centers*

In general, childcare allowances for stay-at-home parents do not exist in Switzerland. From a certain point of view, the "Kleinkinderbetreuungsbeiträge (KKBB)" of the Canton of Zurich can be considered to have fulfilled this function. These contributions were definitively abolished on 30th September 2016 and are no longer simulated in TaxBEN. (Section 3.4): <https://www.bfs.admin.ch/bfsstatic/dam/assets/3823719/master>.

¹⁴ See: [Childcare costs and subsidies - City of Zurich \(stadt-zuerich.ch\)](https://www.stadt-zuerich.ch/content/dam/stzh/ssd/Deutsch/Volksschule/dokumente/betreuung/tarifuebersicht_neue_verordnung.pdf)

¹⁵ More information is available here: <https://www.stadt-zuerich.ch/beitragsrechner-betreuung>

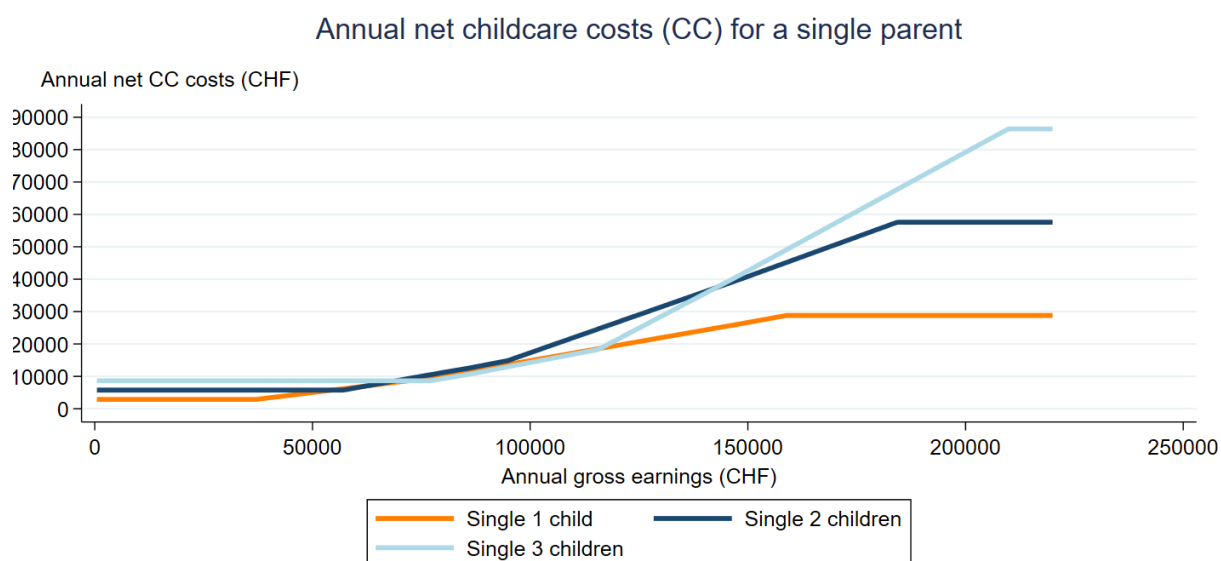
¹⁶ See also examples here: https://www.stadt-zuerich.ch/sd/de/index/familien_kinder_jugendliche/kinderbetreuung/KostenSubventionen_neu_2/Berechnungsbeispiele.html

5.5. Tax concessions for childcare expenditures

Childcare costs are tax deductible (since 2011), up to CHF 10,100 per year in 2022 (since 2012).

In Zurich, childcare costs are deductible from local taxes (since 2010), at a rate of CHF 10,100 per year in 2022 (since 2013).¹⁷

Figure 4 – Net Cost of Childcare by Annual Gross Earnings



Note : Figures for single 40-year old parent.

6. Employment conditional benefits

OECD note: This section provides information on employment-conditional (“in-work”) benefits for employees, i.e. benefits whose eligibility is conditional on the following key requirements: 1) being regularly employed (in either the private or public sector); 2) working a certain number of hours and/or earning more than a certain minimum. This definition notably excludes ‘workfare’ programmes and related ‘work-first’ policies that make out-of-work benefits conditional on participation in work activities.

This section provides information also on *one-off* and/or *temporary* payments for benefit recipients who are out of work and make a transition into employment. These type of benefits are referred to as *transitional “into-work” benefits* in order to differentiate them from the “regular” in-work benefits that do not have any predefined maximum duration after moving into work.

Based on this definition, Switzerland does not have an “in-work” benefit programme.

¹⁷ The two deductions are modelled as part of variables **ALLOW** and **LOC_ALL** (see Section 8).

7. Social security contributions and payroll taxes

7.1. Social security contributions

Names in national language and acronyms used:

Français:

AVS	Assurance-vieillesse et survivants
AI	Assurance-invalidité
PC	Prestations complémentaires pour AVS et AI
PP	Prévoyance professionnelle
AMal	Assurance-maladie
AA	Assurance-accidents
APG	Allocations pour perte de gain
AC	Assurance-chômage
AF	Allocations familiales
Ptra	Prestations transitoires pour chômeurs âgés

German:

AHV	Alters- und Hinterlassenenversicherung
IV	Invalidenversicherung
EL	Ergänzungsleistungen zu AHV und IV
BV	Berufliche Vorsorge
KV	Krankenversicherung
UV	Unfallversicherung
EO	Erwerbsersatzordnung
ALV	Arbeitslosenversicherung
FZ	Familienzulagen
ÜL	Überbrückungsleistungen für ältere Arbeitslose

7.1.1. Employee contributions

Variable names: `[SOCSEC; SOCSEC_p; SOCSEC_s; COMP_INS]`

Retirement pensions

- 5.3% total - 4.35% of gross income for old age insurance (AHV/AVS), 0.7% for Disability Insurance (IV/AI) and 0.25% for Income compensation regulations (EO/APG).
- An age-varying percentage of the “coordinated salary” for the pension fund.

Age	Mandatory contribution rate (% of coordinated salary)
25 - 34	7
35 - 44	10
45 - 54	15
55 – 65/64	18

Pension funds set the amounts of contributions paid by the employee and the employer in their internal regulation.

- Only a part of the annual salary - the “coordinated salary” - is insured. The coordinated salary is the part of the annual salary that is between CHF 21 510 and CHF 86 040.

- If the coordinated salary does not reach CHF 3 585 per year, it is rounded to this amount.
- The coordinated salary is thus:
 - CHF 0 for those earning less than CHF 21 510
 - Earnings less CHF 25 095, rounded up to at least CHF 3 585 per year, for those earning between CHF 21 510 and CHF 86 040
 - CHF 86 040 less CHF 25 095 (CHF 60 945) for those earning more than CHF 86 040 per year
- On average, this amounts to 7.9% of gross income for the pension fund (see Section 7.2).

Unemployment

ALV/AC: 1.1% on the portion of income up to CHF 148 200; plus 0.5% for income over CHF 148 200.

Health

Sickness insurance (medical and pharmaceutical treatments; KV/AMal) is compulsory for any resident of Switzerland. The insured freely choose their insurer (health funds) that fixes the amount of the premiums to pay. The premium tariffication must be approved by the *Office Fédéral de la Santé Publique* (OFSP). TaxBEN assumes that average compulsory health insurance fees for Zurich are paid, amounting to CHF 360 per month (CHF 4,327.20 per year) for adults (age 26 or older), CHF 258.50 per month (3,102 per year) for young adults (age 19-25) and CHF 99.20 per month (1,190.40 per year) for children (age 0-18).¹⁸

Health insurance premiums can be reduced depending on the contributor's income level and the family situation ("Prämienverbilligung"). Each canton has its own definition of the income thresholds and the reduction regime. The health insurance premium and reduction rates of the Canton of Zurich are used in the TaxBEN calculations.

The reduction is calculated as 60% of the average premium less an own contribution. The own contribution is 14.1% of the relevant income for married persons and 11.3% of the relevant income for single people. The average premium in 2022 is CHF 521 for those over 26 and CHF 387 for those aged 19 to 25 and CHF 126 for those under 25.¹⁹ In TaxBEN the relevant income is the same as the local income tax base (see section 8.2.1).

The health insurance premiums are modelled as non-tax compulsory payments (see Section 7.2).²⁰

¹⁸ Estimated average monthly premiums for 2022, published in OKP Prämienübersichten 2022 of the Federal Office of Public Health BAG (Guide on Premiums, Prämienübersicht). See following links:

<https://www.bag.admin.ch/bag/de/home/zahlen-und-statistiken/statistiken-zur-krankenversicherung/weitere-statistiken-zur-krankenversicherung.html>

<https://www.priminfo.admin.ch/de/uebersicht>

¹⁹ Source: [Regionale Durchschnittsprämien \(svazurich.ch\)](https://www.svazurich.ch/Regionale-Durchschnittsprämien)

²⁰ For the calculation of the reduction of health insurance premiums 2022 in Zurich, see : [Prämienverbilligung: Leistung \(svazurich.ch\)](https://www.svazurich.ch/Prämienverbilligung-Leistung)

Contributions payable when in receipt of unemployment benefits

When in receipt of unemployment benefits, contributions are payable to the old-age and survivors' insurance (AHV/AVS = 4.35%), invalidity insurance (IV/AI 0.7%), income compensation allowances (EO/APG = 0.25%), unemployment insurance (ALV/AC = 1.1%), non-occupational accident insurance (2.51%) and to the occupational benefit plans (BV/PP = 0.25%), in sum 9.16%.

7.1.2. Employer contributions

Variable names: `[SSCR; SSCR_p; SSCR_s]`

Retirement pensions

5.3% total - 4.35% of gross income for old age insurance (AHV/AVS), 0.7% for Disability Insurance (IV/AI) and 0.25% for Income compensation regulations (EO/APG).

10.6% of gross income for the pension fund (see Section 7.2).

Unemployment

1.1% on the portion of income up to CHF 148 200 plus 0.5% for income over CHF 148 200.

7.2. Non-tax compulsory payments

In Switzerland the following non-tax compulsory payments (NTCP)²¹ have to be paid:

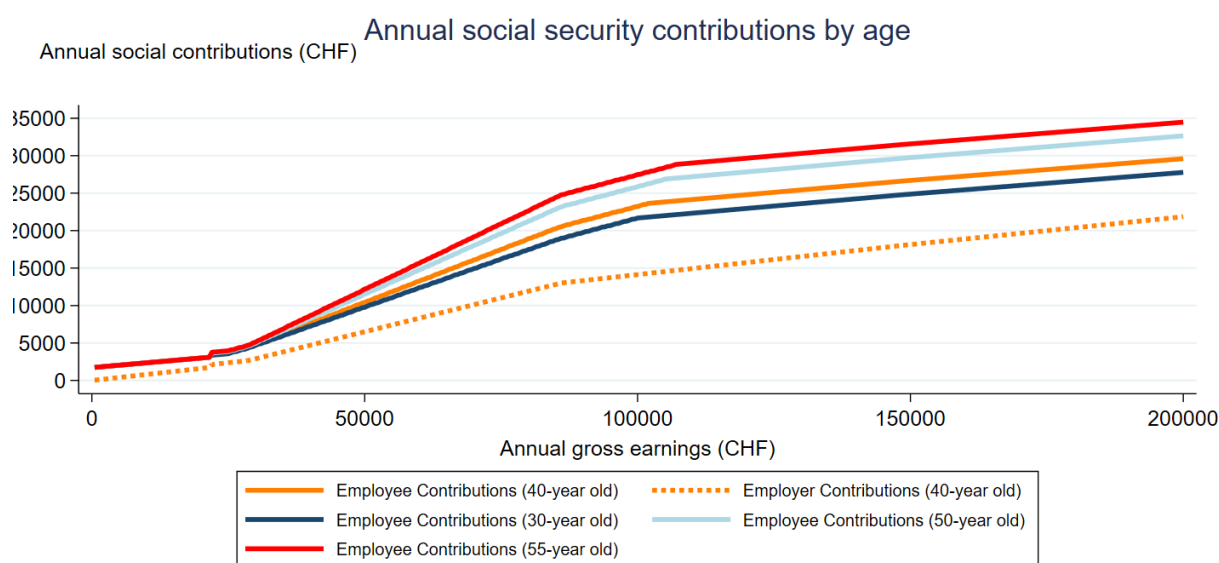
- **Contributions to the second pillar of the pension system (occupational pension funds):** Occupational pension funds (BV/PP) are mandatory for salaried persons earning at least CHF 21 510 annually and at most CHF 86 040 in 2022, although typically further contributions are paid out of income exceeding the cap for legally required contributions. Contributions are taken from income above the lower threshold, initially with a fixed minimum and then subsequently (from CHF 25 095, i.e. CHF 21 510 + 3 585; cp. Section 7.1.1) through proportional contributions. Old age insurance is based on individual savings. The savings assets accumulated by the insured person on their individual savings account over the years serve to finance the old age pension. The constituted capital is converted into an annual old age pension on the basis of a conversion factor. Contribution rates depend on the occupation and age of the employee, and the pension fund involved. The estimated representative rates were 7.9% for employees and 10.6% for employers in 2019 (most recent data).
- **Health insurance (KV/AMal)** is compulsory for all persons domiciled in Switzerland. Every family member is insured individually, regardless of age. The contributions are lump sum contributions per capita depending on age, canton of residence and insurer (see Section 7.1.1).
- **Family allowance:** Employers have to make family allowance contributions (FZ/AF). The contribution rates vary between cantons and family contribution

²¹ NTCPs refer to compulsory payments made by employers or employees in connection with the employees' labour activity that do not qualify as taxes and social security contributions. See [the "Associated paper: non-tax compulsory payments" to the latest OECD Taxing Wages report](#) for more details on NTCPs.

funds. A representative (weighted) contribution rate of 1.64% has been estimated for 2019 (most recent data).

- **Accident insurance:** Accident insurance (UV/AA) is compulsory for every employee. Employees are automatically insured by their employers, who are generally automatically assigned to a particular insurance company depending on their branch of trade. The risk and associated costs of the respective business activity determines the insurance premiums. This is estimated in 2020 to be 1.28% of gross income for employees and 0.63% of gross income for employers. (not modelled in TaxBEN).

Figure 5 – Social Security Contributions by gross earnings



Note: Figures for 40-year old one-earner couple with two children (ages 4 and 6).

8. Taxes

The income of spouses living together is taxed jointly, regardless of the property regime under which they were married. Income of children living under parental authority is added to the income of their custodian. Children's labour income is taxed separately and in some cases, as in Zurich, is exempt from tax.

8.1. Federal income tax (*Impôt sur le revenu perçu par l'administration fédérale (Confédération) / Einkommensteuer (Direkte Bundessteuer)*)

Variable names: **[IT; INC_TAX]**

8.1.1. Tax allowances

Variable names: **[ALLOW]**

Standard reliefs for "postnumerando" taxation [*i.e.* annual taxation on the basis of actual earned income, assessed at the end of the year]

- Basic deduction for married couples

There is a basic deduction of CHF 2 600 for married couples for direct federal tax

- Deduction for children

A CHF 6 500 deduction is allowed for each child under 18 years of age; the deduction is allowed for older children if they are apprentices or still in school for direct federal tax and a CHF 9 000 deduction for cantonal tax (Zürich).

- Deduction for childcare costs

See Section 5.5.

- Deductions for social insurance contributions and other taxes

Premiums for old age, disability insurance and income compensation allowances (5.3% of gross earned income) and for unemployment insurance (1.1% for income up to CHF 148 200, 0.5% for income over CHF 148 200)) are deductible in full. Compulsory contributions of 7.9% approximately to private pension funds are also fully deductible. Health and life insurance premiums are deductible from federal income tax (for cantonal tax (Zürich) up to CHF 3 500 (CHF 5 200) for married persons and CHF 1 700 (CHF 2 600) for taxpayers who are widow(er)s, divorced or single (such premiums are not considered social contributions). These amounts are increased by CHF 700 (CHF 1 300) for each dependent child.

- Work-related expenses

Taxpayers are allowed a deduction corresponding to 3% of net income (*i.e.* gross income less contributions for old age and disability insurance, unemployment insurance and work-related provident funds). This deduction may be no less than CHF 2 000 and no more than CHF 4 000.

In addition to the deduction for professional costs above, workers may deduct expenses related to meals taken away from home and for stays away from home. They may also claim between CHF 800 and CHF 2400 for ancillary activities (not simulated in TaxBEN).²²

- Deduction for two-income couples (partner allowance)

50% of the smaller income can be deducted, but no less than CHF 8 100 and no more than CHF 13 400.

- Deductions for local income tax payments

See Section 8.2.1.

Main non-standard reliefs (available to the average worker; not simulated in TaxBEN)

- Interest payments on qualifying loans

This is the main non-standard relief available to the average worker. It is allowed for all sorts of loans.

- Medical expenses

Expenses incurred as a result of illness, accidents or disability of the taxpayer or one of its dependants are deductible if the taxpayer bears the expenses personally and they exceed 5% of his or her net income.

8.1.2. Tax base

Variable names: **[TAX_INC_F]**

²² <https://www.admin.ch/opc/fr/classified-compilation/19930032/index.html> (français) or <https://www.admin.ch/opc/de/official-compilation/2008/4077.pdf> (deutsch)

Allowable deductions from gross income	Single taxpayer (CHF)	Married taxpayer, 2 children (CHF)
Work-related expenses ¹	2 000 - 4 000	2 000 - 4 000
Personal deduction	--	2 600
Deduction for 2 dependent children	--	13 000 (6 500*2)
Social contributions		
-- Old age insurance etc.	5.3%	5.3%
-- Unemployment insurance	1.1% ²	1.1% ²
-- Pension fund	7.9%	7.9%
-- Accident insurance (UV/AA)	1.28%	1.28%
Maximum deductions for health insurance premiums and loan interest ³	1 700 plus 700 per child	3 500 plus 700 per child
Deduction for two-income couples ⁴		8 100 – 13 400

1. 3% of net income, minimum CHF 2 000, maximum CHF 4 000.
2. 1.1% of income up to CHF 148 200; 0.5% of income over CHF 148 200.
3. For modelling purposes, taxpayers are assumed to always receive the relevant maximum deduction.
4. 50% of smaller income, minimum CHF 8 100, maximum CHF 13 400.

8.1.3. Income tax schedule²³

Rates for persons living alone:

Taxable income (CHF)¹	Base amount (CHF)	Plus % of excess (CHF)
Up to 14 500 ³	--	--
14 500 to 31 600		0.77
31 600 to 41 400	131.65	0.88
41 400 to 55 200	217.90	2.64
55 200 to 72 500	582.20	2.97
72 500 to 78 100	1 096.00	5.94
78 100 to 103 600	1 428.60	6.60
103 600 to 134 600	3 111.60	8.80
134 600 to 176 000	5 839.60	11.00
176 000 to 755 200	10 393.60	13.20
Over 755 200 ²	--	11.5 of total income

1. Fractions of less than CHF 100 are disregarded.
2. The calculation model disregards this part of the schedule.
3. Tax amounts below 25 CHF are not charged. Thus, earners in this group begin to owe income taxes at income of at 17 800 CHF.

²³ Source: <https://www.estv.admin.ch/estv/de/home/direkte-bundessteuer/direkte-bundessteuer/fachinformationen/tarife.html>

Rates for spouses living together and for widowed, separated, divorced taxpayers or unmarried taxpayers living with their own children:

Taxable income (CHF)¹	Base amount (CHF)	Plus % of the excess (CHF)
Up to 28 300 ³	--	--
28 300 to 50 900		1
50 900 to 58 400	226	2
58 400 to 75 300	376	3
75 300 to 90 300	883	4
90 300 to 103 400	1 483	5
103 400 to 114 700	2 138	6
114 700 to 124 200	2 816	7
124 200 to 131 700	3 481	8
131 700 to 137 300	4 081	9
137 300 to 141 200	4 585	10
141 200 to 143 100	4 975	11
143 100 to 145 000	5 184	12
145 000 to 895 800	5 412	13
For 895 900	103 028.50	
Over 895 900 ²	--	11.5 of total income

1. Fractions of less than CHF 100 are disregarded.

2. The calculation model disregards this part of the schedule.

3. Tax amounts below 25 CHF are not charged. Thus, earners in this group begin to owe income taxes at income of at 30 800 CHF.

8.1.4. Tax credits

- Tax credit for children

A CHF 251 deduction from the tax liability is allowed for each child under 18 years; the deduction is allowed for older children if they are apprentices or still in school.

8.2. Local income tax (*Impôt sur le revenu perçu par l'administration le canton et la commune of de Zurich / Einkommensteuer (Staatssteuer)*)

Variable names: **[IT; LOCTAX]**

The system of cantonal and communal taxation has the same features as that of direct federal tax. The tax base is comprised of income from all sources.

Once the basic amount of tax is set, cantons, communes and churches levy their taxes by applying a multiple, which may change from year to year. In 2021, for example, the canton applied a multiple of 1.0, the commune of Zurich 1.19 and the reformed church 0.10. The basic amount of tax is therefore multiplied by a total of 2.29. However, following the decision no longer to include church tax in Revenue Statistics, it is no

longer included in the calculations for Taxing Wages. The basic amount of tax is therefore multiplied by a total of 2.19.

8.2.1. Tax base

Variable names: **[TAX_INC_1; LOC_ALL]**

Allowable deductions from gross income	Single taxpayer (CHF)	Married taxpayer, 2 children (CHF)
Work-related expenses ¹	2 000 - 4 000	2 000 - 4 000
Personal deduction	--	--
Deduction for 2 dependent children ⁴	--	18 000 (9 000*2)
Social contributions		
-- Old age insurance	5.3%	5.3%
-- Unemployment insurance	1.1% ²	1.1% ²
-- Pension fund	7.9%	7.9%
-- Accident insurance (UV/AA)	1.28%	1.28%
Maximum deductions for health insurance premiums and loan interest ³	2 600 plus 1 300 per child	5 200 plus 1 300 per child
Deduction for two-income couples		5 900

1. 3% of net income, minimum CHF 2 000 CHF, maximum CHF 4 000.
2. 1.1% of income up to CHF 148 200; 0.5% of income over CHF 148 200.
3. For modelling purposes, taxpayers are assumed to always receive the relevant maximum deduction.
4. In case centre-based childcare is used, a further deduction for the cost applies (see Section 5.5).

8.2.2. Income tax schedule

Cantonal income tax (Zurich)²⁴

a) Basic income tax rates for married, divorced, widowed or single taxpayers living with children:

²⁴ Source : <https://www.zh.ch/de/steuern-finanzen/steuern/steuern-natuerliche-personen/steuererklaerung-natuerliche-personen.html#-2147285594>

Taxable income (CHF) ¹	Base amount (CHF)	Plus % of the excess (CHF)
Up to 13 500	--	0
13 500 to 19 600	--	2
19 600 to 27 300	122	3
27 300 to 36 700	353	4
36 700 to 47 400	729	5
47 400 to 61 300	1 264	6
61 300 to 92 100	2 098	7
92 100 to 122 900	4 254	8
122 900 to 169 300	6 718	9
169 300 to 224 700	10 894	10
224 700 to 284 800	16 434	11
284 800 to 354 100	23 045	12
Over 354 100	31 361	13

b) Basic income tax rates for other taxpayers (single without children):

Taxable income (CHF)¹	Base amount (CHF)	Plus % of the excess (CHF)
Up to 6 700	--	0
6 700 to 11 400	--	2
11 400 to 16 100	94	3
16 100 to 23 700	235	4
23 700 to 33 000	539	5
33 000 to 43 700	1004	6
43 700 to 56 100	1646	7
56 100 to 73 000	2514	8
73 000 to 105 500	3866	9
105 500 to 137 700	6791	10
137 700 to 188 700	10011	11
188 700 to 254 900	15621	12
Over 254 900	23565	13

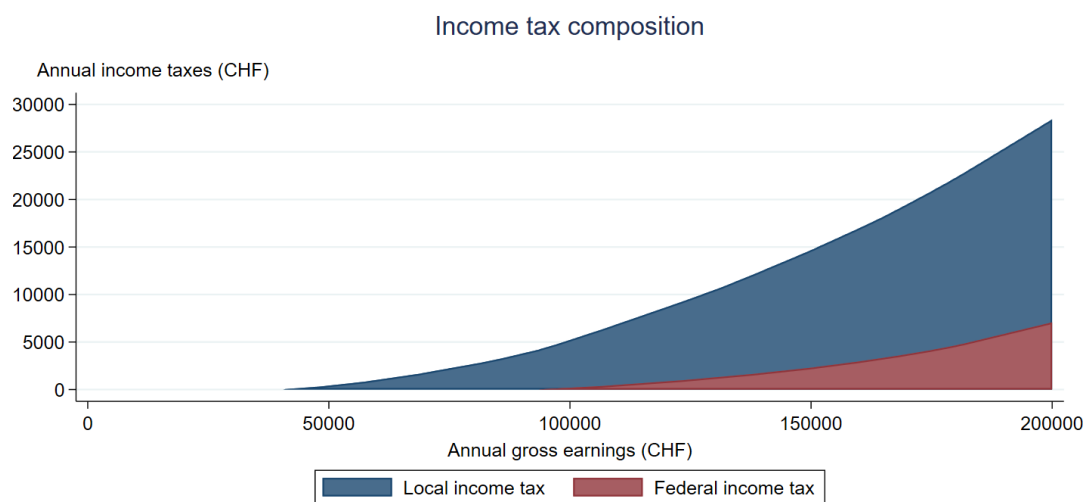
1. Fractions below CHF 100 are disregarded.

c) Annual multiple as a percentage of basic tax rates:

-- Canton of Zurich	100
-- Commune of Zurich	119
-- Roman Catholic church tax	10 (not simulated in TaxBEN)
-- Reformed Church tax	10 (not simulated in TaxBEN)

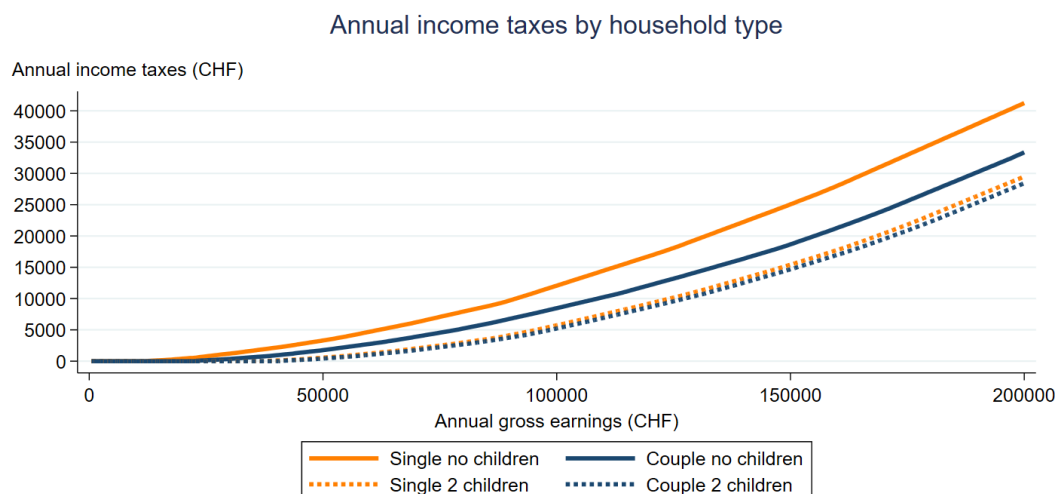
d) A personal staff tax of CHF 24 is added.²⁵

Figure 6 – Income Tax Composition by gross earnings



Note: For 40-year old one-earner couple with 2 children (ages 4 and 6).

²⁵ Source : Section 200 of the Zurich Tax Code : [http://www2.zhlex.zh.ch/appl/zhlex_r.nsf/WebView/49B30E8052B9D928C125849A00480C6C/\\$File/631.1_8.6.97_107.pdf](http://www2.zhlex.zh.ch/appl/zhlex_r.nsf/WebView/49B30E8052B9D928C125849A00480C6C/$File/631.1_8.6.97_107.pdf)

Figure 7 – Income Taxes by gross earnings and household type

Note: All adults are 40 years old. Children, if present, are 4 and 6. In case of couples, spouse does not work.

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Switzerland in 2022 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

By percentage of the average wage (**Panel A**);

By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

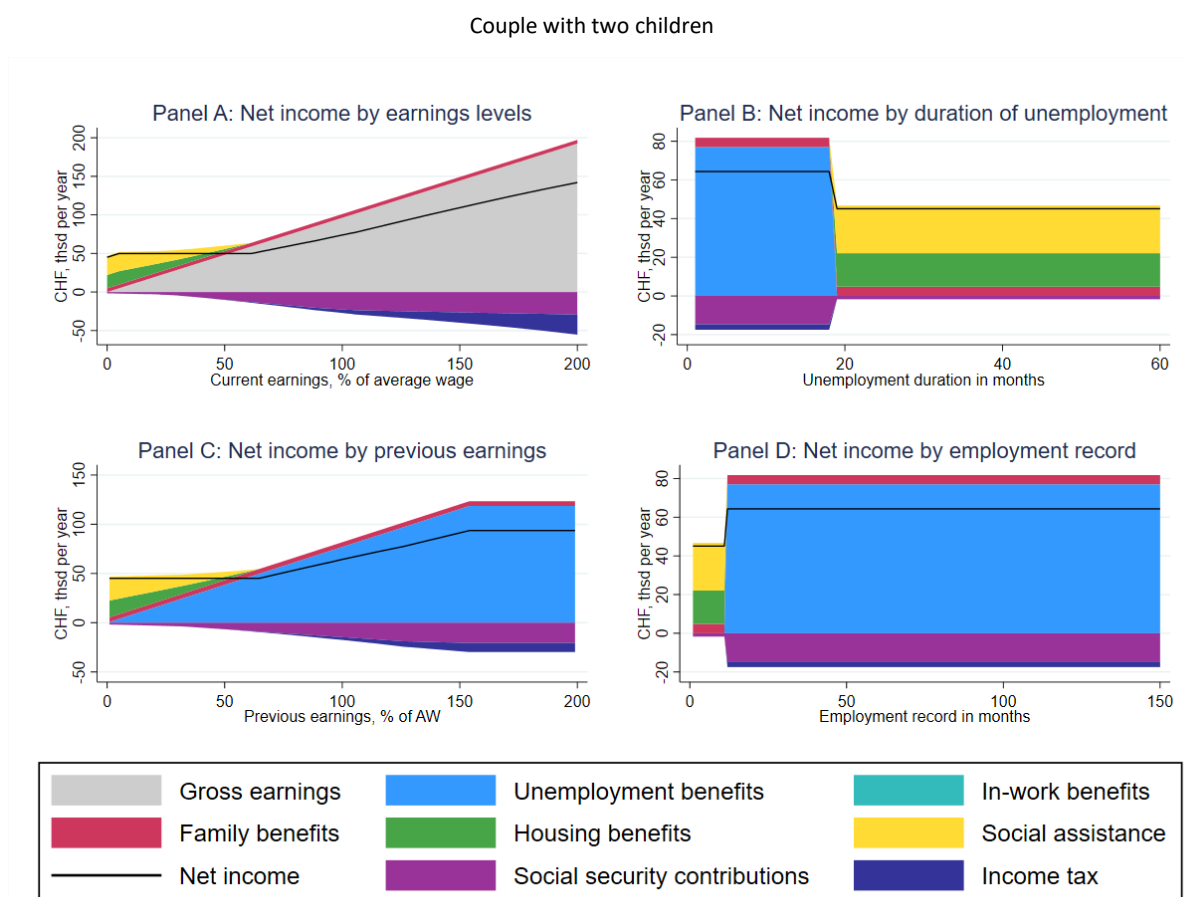
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g.

because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 8. Selected output from the OECD tax-benefit model



Source: Calculations based on the OECD tax-benefit model, 2022. The average wage used in these charts is CHF 96 253.

Annex I: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Switzerland that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Transition benefits.

Transition benefits – or bridging benefits – are benefits intended for individuals aged 60 or over who have exhausted their entitlement to unemployment benefits. They should cover their basic needs until normal retirement age at the latest.

Beneficiaries must meet a number of conditions, in particular having been gainfully employed for a sufficient period and having only modest assets.

Unemployment assistance (Assistance chômage / Arbeitslosenhilfe)

Transitional benefits for older unemployed persons:

Unemployment assistance is the responsibility of the canton of residence.

A distinction is made between different types of assistance for the unemployed (see study by WYSS K., *Évolution des mesures d'intégration de l'aide sociale*, in collaboration with the Swiss Conference of Social Welfare Institutions (CSIAS), Research Report No. 13/00, Bern: FSIO, 2000).

Some cantonal schemes take over from the federal unemployment insurance scheme; large cities or municipalities also have their own schemes:

- Economic support in the form of daily allowances following unemployment insurance: 1 canton (Zug).²⁶
- Daily allowances (possibly means-tested) combined with labour market measures similar to those provided by unemployment insurance: 2 cantons (Ticino and Schaffhausen).²⁷
- Benefits comparable to social assistance in the narrow sense, in any case with the obligation to participate in integration measures. They have the character of an income supplement. The community therefore bears not only the cost of the compensation but also the cost of the integration measures. The same legal basis may provide for aid to start a self-employed activity or other ad hoc aid, subject to specific conditions (submission of a business plan or file, etc.). In the canton of Geneva, this assistance is administered directly by the authorities responsible for social assistance (Hospice général). It is identical to social assistance but with higher amounts (RMCAS, revenu minimal cantonal d'aide sociale). The canton of Vaud

²⁶ Additional information is available here:

<https://www.zg.ch/behoerden/volkswirtschaftsdirektion/arbeitslosenkasse/arbeitslosenhilfe>

²⁷ Additional information is available here: https://svash.ch/wp-content/uploads/broschuere_anschlussstaggelder_2016.pdf; CAN - Raccolta delle leggi del Cantone Ticino

has even gone so far as to completely replace social assistance (ASV, aide sociale vaudoise) with the "revenu d'insertion" (RI). This means that the ability to be integrated or reintegrated into the labour market is examined in ALL cases where a person claims social assistance.²⁸

- Labour market measures without daily allowances: various cantons have anchored this possibility in their social assistance legislation in recent years; others have introduced such benefits through other legislation (e.g. Valais, Neuchâtel).

Two cantons have a special minimum income scheme (in addition to unemployment assistance in one case).

Cantonal assistance to the unemployed has become less important due to the longer time limits of the federal unemployment insurance (since 1997). In the course of 1999, the number of beneficiaries decreased significantly, so that the specific unemployment assistance scheme was abolished in several cantons. It remains in the Canton of Zug.

Example - Unemployment assistance in the canton of Zug:²⁹

Unemployment assistance extends unemployment insurance benefits for people who have exhausted their entitlement to unemployment insurance benefits. Unemployment assistance is limited to 80 per cent of the last unemployment insurance benefit. Persons whose unemployment benefit does not exceed CHF 130 are compensated at 90 per cent of the last unemployment insurance benefit. Assistance is not paid, or is reduced, if income and assets exceed certain limits. The number of daily allowances for unemployment assistance is fixed at 90. Unemployment benefit is not taxable.

²⁸ <https://www.vd.ch/themes/aides-financieres-et-soutien-social/aides-financieres-et-comment-les-demander/revenu-dinsertion-ri/>

²⁹ Additional information is available here:

<https://www.zg.ch/behoerden/volkswirtschaftsdirektion/arbeitslosenkasse/arbeitslosenhilfe/wie-bemisst-sich-die-arbeitslosenhilfe-1>

Decisive elements	Conditions	Remarks
Entitlement.	Unemployment, no longer entitled to unemployment insurance benefits.	Job readiness, willingness to work, periodically visit the stamping office, actively seek employment and accept any reasonably acceptable job.
Expenditure taken into account ¹ : - Flat rate for maintenance. - Professional expenses, insurance premiums, contribution to the optional old age pension (3rd pillar).		
Revenue taken into account : Revenue received during the payment of the benefit by the beneficiary or his/her spouse.	All income.	
Applicable limits : - Fortune. - Maximum duration of payment of allowances. - Maximum level of allowances. - Montants maximas (status : 1.1.15³⁰).	Single person: CHF 100,000. Couple: CHF 200,000 and CHF 50,000 minor children. 90 per diems. 80 per cent of the last unemployment insurance benefits. Single unemployed persons: CHF 4'802. Married unemployed persons without children and other unemployed persons with a support or maintenance obligation towards a third party: CHF 5761; towards two or more persons: CHF 6,241	The assets of the beneficiary, his or her spouse and minor children must not exceed the threshold for tax exemption ². 90 per cent for persons whose assistance allowance does not exceed CHF 130 per day.
Waiting period.	Been in the canton for 2 years (foreigners: 5 years in Switzerland). Unless the canton or country from which the person comes has a similar benefit (reciprocity)	.
Duty of repayment.	no	no
Competent authority.	Cantonal Unemployment Fund.	

1. Source : <http://www.zug.ch/behoerden/volkswirtschaftsdirektion/arbeitslosenkasse/arbeitslosenhilfe>.

2. The attached amounts are the tax-free amounts. Source: [BGS 632.1 - Steuergesetz - Kanton Zug - Erlass-Sammlung \(zg.ch\)](#); Art. 44

³⁰ <https://www.zg.ch/behoerden/volkswirtschaftsdirektion/arbeitslosenkasse/arbeitslosenhilfe>

Annex II: Other benefits and direct taxes

This section provides a brief description of other social protection systems in Switzerland, but which are not currently included in the OECD tax-benefit model.

1.1. *Short-time work (l'indemnité en cas de réduction de l'horaire de travail)*³¹

1.1.1. *Entitlement and eligibility conditions*

Employers may make an application for compensation to cover wages of workers affected by short-term work stoppages. These employees must have an ongoing employment relationship and have completed their compulsory education (apprenticeships) and not be employed on a temporary basis.

COVID-19 measures (Not currently implemented in TaxBEN model)

Temporary measures undertaken in the framework of the labour market insurance that are still in place (June 2022): Extension and simplification of short-time work compensation

- The pre-registration period is waived until the end of 2022.
- The waiting period for short-time work compensation has been reintroduced and is currently 1 day per month.
- The approval period for short-time work has been extended from 3 to 6 months (until end of 2022).

Abolition of the maximum period of entitlement to short-time work compensation

- In order to relieve the cantons' enforcement bodies, the accounting of the short-time work compensation continues to be carried out in summary form.
- The higher compensation rate for low-income earners applies until the end of 2022.

The maximum period for drawing STWC is 24 months per framework period until 30 June 2022. From July 2022 onwards, the ordinary maximum duration of 12 accounting periods per framework period shall apply again.

1.1.2. *Benefit amounts*

The short-time working compensation is paid to the employer after the waiting period. It amounts to 80% of the loss of earnings attributable to the reduction in working hours. With short-time working compensation, the UI also reimburses the employer contributions for OASI/UI/LE/UI (6.4%).

³¹ More information is available at:

<https://www.seco.admin.ch/seco/de/home/Arbeit/Arbeitslosenversicherung/leistungen/kurzarbeitsentschaedigung.html>

Employees who are unable to work will receive a lump sum payment between 868 CHF and CHF 3,320 (depending on their education and age) if they work full-time hours, and if the loss of work is total³².

1.1.3. Benefit duration

After a waiting period, benefits are available for a maximum duration of 12 months over a 2-year period.

1.1.4. Means test

-

1.1.5. Tax treatment

-

1.1.6. Interactions with other components of the tax-benefit system

-

1.1.7. Combining benefit receipt and employment/starting a new job

-

1.2. Other support programs

1.2.1. Inventory of Social Assistance

Links to further information is available at:

- Inventar der Sozialhilfe im weiteren Sinn | Bundesamt für Statistik (admin.ch): <https://www.bfs.admin.ch/bfs/de/home/statistiken/soziale-sicherheit/sozialhilfe/inventar-sozialhilfe-im-weiterensinn.html>
- Sozialhilfe im weiteren Sinn: Leistungen pro Kanton - 2007-2019 | Tabelle | Bundesamt für Statistik (admin.ch): <https://www.bfs.admin.ch/bfs/de/home/statistiken/soziale-sicherheit/sozialhilfe/inventar-sozialhilfe-im-weiterensinn.assetdetail.11587130.html>
- Bundesamt für Statistik - Sozialhilfe i.w.S (admin.ch): <https://www.sozialhilfeiws.bfs.admin.ch/ibs/daten/InventarErgebnisseView.xhtml>

1.2.2. Sickness benefits, mandatory sick pay provided by employer and mandatory sick leave provisions

Links to further information is available at:

- Unfallversicherung nach UVG (suva.ch): <https://www.suva.ch/de-ch/versicherung/versicherung/unfallversicherung-nach-uvg>
- Krankenversicherung (admin.ch): <https://www.bag.admin.ch/bag/de/home/versicherungen/krankenversicherung.html>

³² https://www.fedlex.admin.ch/eli/cc/1983/1205_1205_1205/de; Art. 41

1.2.3. Maternity, paternity and parental leave benefits as well as birth grants

Links to further information is available at:

- Mutterschaft (admin.ch) :
<https://www.bsv.admin.ch/bsv/de/home/sozialversicherungen/eo-msv/grundlagen-und-gesetze/mutterschaft.html>
- Vaterschaftsurlaub (admin.ch):
<https://www.bsv.admin.ch/bsv/de/home/sozialversicherungen/eo-msv/grundlagen-und-gesetze/eo-vaterschaftsurlaub.html>